

HK Regulatory Compliance Digest

July 2026 Edition · Covering 1 July 2026 – 31 July 2026

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IN THIS ISSUE

July 2026 was an active month for Hong Kong's securities and banking regulators, with cybersecurity and market-integrity themes dominating the agenda. The SFC's Circular 26EC35 phasing out one-time passwords in favour of phishing-resistant authentication, together with its \$2.1 million fine against Luk Fook Securities over a 2022 ransomware incident, underscore intermediaries' obligations around client information security and system resilience. Enforcement activity remained brisk, with fines against Victory Securities and China Industrial Securities International Asset Management, a nine-month licence suspension for a former Yuanta Securities representative, a HK\$125 million asset freeze at Futu Securities International over suspected IPO fraud, and a Market Misconduct Tribunal finding against Sir Dickson Poon for insider dealing. On the product and market-access front, the SFC expanded its listed structured funds framework and signed a new Mutual Recognition of Funds arrangement with Malaysia. The HKMA, meanwhile, focused on consumer protection and technology readiness, issuing a bank scam alert, publishing its latest Complaints Watch, and launching a Quantum Preparedness Index for the banking sector.

SECURITIES AND FUTURES COMMISSION — SFC

3 JULY 2026

Former Yuanta Securities Representative Suspended for Nine Months

The SFC suspended the licence of Mr Wong Tim Hi, a former licensed representative of Yuanta Securities (Hong Kong) Company Limited, for nine months from 3 July 2026 to 2 April 2027. The action followed an SFC investigation into a market manipulation scheme involving Ching Lee Holdings Limited shares, during which Wong allowed two third parties to operate client accounts without the clients' written authorisation. The case underscores the importance of verifying and documenting third-party trading authorisations as part of account-opening and ongoing KYC controls.

Read more: <https://apps.sfc.hk/edistributionWeb/gateway/EN/news-and-announcements/news/enforcement-news/?searchByName=1&targetEntity=Wong+Tim+Hi>

[Client Onboarding & KYC](#) [Trade Monitoring & Surveillance](#) [Enforcement](#)

9 JULY 2026

Circular on Discontinuation of One-Time Passwords for Client Login and Device Binding

The SFC issued Circular 26EC35 requiring internet brokers and virtual asset trading platform operators to stop relying on one-time passwords (SMS codes, emails, app tokens) for client login and device binding. Firms must migrate to phishing-resistant authentication such as passkeys or cryptographically bound devices, with large internet brokers expected to move immediately and a hard deadline of 8 July 2027 for the rest of the industry. Senior management will be held personally accountable for client losses arising from cybersecurity control failures.

Read more: <https://apps.sfc.hk/edistributionWeb/gateway/EN/circular/doc?refNo=26EC35>

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23 JULY 2026

Mutual Recognition of Funds Arrangement Extended to Malaysia

The SFC and the Securities Commission Malaysia signed a memorandum of understanding expanding their mutual recognition of funds (MRF) arrangement and enabling Malaysian REITs to cross-list in Hong Kong. The enhanced fund-recognition framework covers a wider product set, including futures-based, leveraged and inverse, and commodity ETFs, and takes effect immediately, while a simplified dual-IPO listing framework follows in September 2026. Intermediaries distributing Malaysia-domiciled or dual-listed products should review updated eligibility and disclosure requirements.

Read more: <https://apps.sfc.hk/edistributionWeb/gateway/EN/news-and-announcements/news/doc?refNo=26PR111>

[Licensing & Supervision](#)

24 JULY 2026

SFC Enhances Regulatory Framework for Leveraged and Inverse Products

The SFC enhanced its regulatory framework for listed structured funds, broadening the authorised product range to include single-stock leveraged and inverse (L&I) products referencing highly liquid Hong Kong mega-cap stocks, in order to ensure orderly market trading. The revised framework adds new and enhanced operational and disclosure requirements for L&I products and defined-outcome listed structured funds. Firms distributing or advising on these products should reassess suitability and risk-disclosure procedures ahead of the expanded product shelf.

Read more: <https://apps.sfc.hk/edistributionWeb/gateway/EN/news-and-announcements/news/doc?refNo=26PR115>

[Risk Profiling & Suitability](#) [Licensing & Supervision](#)

24 JULY 2026

Victory Securities Fined and Responsible Officer Suspended

The SFC reprimanded and fined Victory Securities Company Limited \$1.7 million for regulatory breaches in the handling of a client account, and suspended the licence of responsible officer Stephen Chiu Che Leung for three months (22 July to 21 October 2026). The failures — inadequate scrutiny of stock ownership and a failure to report suspected fraudulent conduct to the SFC — came to light during a separate investigation into a suspected ramp-and-dump scheme. The case highlights the SFC's continued scrutiny of account-opening due diligence and internal escalation controls at brokerages.

Read more: <https://apps.sfc.hk/edistributionWeb/gateway/EN/news-and-announcements/news/enforcement-news/?searchByName=1&targetEntity=Victory+Securities+Company+Limited>

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27 JULY 2026

China Industrial Securities International Asset Management Fined \$6.8 Million

The SFC reprimanded and fined China Industrial Securities International Asset Management Limited \$6.8 million for failing to properly identify and address red flags in dubious arrangements, alongside other failures in managing a private fund. The action reflects the SFC's ongoing focus on fund managers' gatekeeping obligations, including due diligence over counterparties and underlying investments. Firms managing private funds should revisit red-flag escalation protocols and investment due-diligence records.

Read more: <https://apps.sfc.hk/edistributionWeb/gateway/EN/news-and-announcements/news/doc?refNo=26PR116>

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28 JULY 2026

Luk Fook Securities Fined Over Cybersecurity Failures

The SFC reprimanded and fined Luk Fook Securities (HK) Limited \$2.1 million for inadequate cybersecurity controls that contributed to its inability to withstand a September 2022 ransomware attack, which disrupted trading, email and accounting systems for nearly three weeks. Clients were locked out of the firm's mobile and internet trading platforms during the outage and had to place orders through account executives instead. The case is a reminder that client information management and business-continuity controls remain a core SFC supervisory priority.

Read more: [https://apps.sfc.hk/edistributionWeb/gateway/EN/news-and-announcements/news/enforcement-news/?searchByName=1&targetEntity=Luk+Fook+Securities+\(HK\)+Limited](https://apps.sfc.hk/edistributionWeb/gateway/EN/news-and-announcements/news/enforcement-news/?searchByName=1&targetEntity=Luk+Fook+Securities+(HK)+Limited)

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30 JULY 2026

SFC Freezes HK\$125 Million at Futu Securities International Over Suspected IPO Fraud

The SFC issued a restriction notice requiring Futu Securities International (Hong Kong) Limited to freeze up to HK\$125.25 million held in client accounts suspected of being used to create a false or artificial appearance of demand for shares in an IPO. Futu itself is not under investigation and the notice does not affect its other clients or operations. The action illustrates the SFC's continued use of statutory restriction notices to preserve assets swiftly while IPO-related manipulation is investigated.

Read more: [https://apps.sfc.hk/edistributionWeb/gateway/EN/news-and-announcements/news/enforcement-news/?searchByName=1&targetEntity=Futu+Securities+International+\(Hong+Kong\)+Limited](https://apps.sfc.hk/edistributionWeb/gateway/EN/news-and-announcements/news/enforcement-news/?searchByName=1&targetEntity=Futu+Securities+International+(Hong+Kong)+Limited)

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31 JULY 2026

Market Misconduct Tribunal Finds Sir Dickson Poon Culpable of Insider Dealing

The Market Misconduct Tribunal found Sir Dickson Poon, chairman of Dickson Concepts, culpable of insider dealing in Dickson Concepts shares ahead of the market's disclosure of a roughly HK\$1.15 billion windfall linked to PayPal's 2019 acquisition of Honey Science Corporation. The Tribunal also examined a seven-week delay by Dickson Concepts in disclosing the inside information. The finding is a reminder of the SFC's sustained focus on insider dealing around corporate transactions and timely disclosure obligations.

Read more: <https://apps.sfc.hk/edistributionWeb/gateway/EN/news-and-announcements/news/doc?refNo=26PR121>

Trade Monitoring & Surveillance Enforcement

HONG KONG MONETARY AUTHORITY — HKMA

15 JULY 2026

Scam Alert Related to Banks

The HKMA issued a public alert regarding fraudulent websites, phishing emails, spoofed internet-banking login pages and other scams impersonating licensed banks. It reiterated that banks will never send SMS or emails containing hyperlinks asking customers to conduct transactions, nor request login passwords or one-time passwords by phone, email or SMS. Members of the public who believe they have been targeted are urged to contact their bank and the Hong Kong Police Force's Crime Wing Information Centre.

Read more: <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2026/07/20260715-3/>

Client Information Management AML/CTF

24 JULY 2026

Complaints Watch Issue No. 28

The HKMA published the latest issue of Complaints Watch, summarising trends in customer complaints against authorized institutions and highlighting recurring service and control gaps. The publication is intended to help banks identify and remediate root causes before they escalate into wider conduct issues. Firms should benchmark their own complaint-handling data and escalation triggers against the themes highlighted.

Read more: <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2026/07/20260724-3/>

Client Information Management Licensing & Supervision

ENFORCEMENT WATCH — SFC, JULY 2026

As part of this month's compliance sweep, we ran a dedicated search of SFC enforcement activity for July 2026, covering new disciplinary sanctions, licence suspensions or revocations, worldwide freezing or injunction orders, and criminal prosecutions, convictions or sentencing. The search confirmed the items already summarised above — the Wong Tim Hi licence suspension, the Victory Securities and responsible-officer sanctions, the Luk Fook Securities and China Industrial Securities International Asset Management fines, the Futu Securities International asset freeze, and the Market

Misconduct Tribunal finding against Sir Dickson Poon — as the substantive new enforcement developments in the period. No new licence revocations or newly granted worldwide freezing or injunction orders were identified beyond these matters. Separately, we noted that the Court of Appeal on 21 July 2026 dismissed a further appeal relating to the HK\$1.8 billion asset preservation order against Ms Zong Fuli and Jian Hao Ventures Limited, originally obtained in earlier proceedings; we are confirming whether this was captured in last month's coverage and will follow up if any new substantive action is announced. No new SFC criminal convictions or sentencing were identified in the July 2026 window.

Wind Rose Holding Limited

This digest is prepared for client information purposes and summarises publicly available SFC and HKMA announcements for 1 July 2026 - 31 July 2026. It is not legal advice; please consult your relationship manager or Wind Rose's compliance team before acting on any item.

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